

was increased to 74% in 2021, there was very limited foreign interest. Only a few players raised stakes, like Italy's Generali that took a 74% stake in its joint venture with the Future Group. Belgium's Ageas raised its stake in its Federal Bank JV to 74%, and British Aviva PLC raised stake in its JV with Dabur India.

"When FDI was increased from 49% to 74%, it led to limited movement. So, it's unclear whether raising it to 100% will bring a big shift. But directionally, it's a positive step—it could encourage those who haven't entered the market yet to start considering it," says Das.

T

THERE ARE MANY challenges that need to be addressed for the sector take off. "Incoming players must be willing to go deep—understand the nuances of the Indian market and execute well. That's not easy," says Das of ACKO.

Moreover, considering insurance is a capital-heavy industry, it is slow to break even, often taking 10-15 years. Hence, insurers who have not broken even and where capital is an issue, can look for buyers. "Many smaller insurers with annual premiums under ₹700 crore are struggling. They're not making money and can't seem to scale up. Consolidation is inevitable—not just due to FDI but because size and scale now matter more than ever," says an industry expert on the condition of anonymity.

Sreenivasan of Bajaj Finserv also believes that industry-wide consolidation is a possibility at this juncture. "At some point, the availability of capital will determine whether the pace of consolidation will increase."

Of course, these factors do not dim the potential the Indian market offers. There is still enough room to build models that are more meaningful and relevant for Indian consumers. "Globally, we've seen successful examples from the US and the UK where insurance players have built innovative and impactful businesses. Some of those ideas can certainly be adapted and implemented here," says Das.

The long-term outlook for the Indian insurance industry remains highly positive. "There is no broad-based exit or cash-out trend. Based on our discussions with international players, we see only optimism given India's demographics, low penetration, and business potential," says Kailash Mittal, Head of Insurance & Actuarial at the

FUTURE FOCUS



AI INTEGRATION FOR RISK MITIGATION

Insurers are looking to embrace AI and data analytics for better risk assessment, fraud detection, and personalised pricing strategies



INSURTECH DISRUPTION

Insurtech firms may continue to disrupt the market by addressing gaps in health coverage through innovative technology



CUSTOMER-CENTRICITY

Insurers are moving towards customisation, tailoring policies to individual preferences and behaviour



AI-POWERED TOOLS

Chatbots and voice assistants are breaking down barriers to entry, especially for rural populations

| 53

professional services major KPMG India.

That fact is also underlined by Allianz, which has indicated that it isn't exiting India entirely.

In a statement, the company emphasised: "Allianz will explore new opportunities that strengthen its market position, not only as an investor but also as an operator." Reports suggest that Jio Financial Services and Allianz are in talks to form an insurance joint venture in India, although no formal comment has been issued.

There is perhaps no better evidence to show that the opportunity is vast. Foreign firms keen to tap into the market will come up against an altogether different ecosystem to the one that prevailed two decades ago. They will have to contend with domestic firms that have matured and start-ups that are constantly on the hunt to disrupt established practices. **BT**

@teena_kaushal